its international environment if it is to accelerate its domestic transformation.

Liberalization alone will not address India's development challenges. From the outset, India experimented with various ways to increase its power and capabilities, with mixed success. Initially, this included sourcing economic and technical assistance, often in the form of aid, from the United States, Europe, and British Commonwealth, and subsequently from the Soviet Union, Warsaw Pact, and Japan. Although India grew faster after Independence than it had under colonial rule, state planning and nationalization efforts contributed to a relatively closed economy persisting until the 1990s. By then, it lagged many other Asian economies in its development. Beginning with liberalization measures in 1991, India leveraged a more open international economic system. Its trade volumes grew, its services sector prospered, its financial markets became more sophisticated, and Indian human capital strengthened from unprecedented education, health, and employment opportunities. Although India's economy has fared much better since the late 1990s, and it has grown on average much faster than the rest of the world, it has fallen behind China, a large neighbouring country that enjoyed similar per capita incomes as recently as the late 1980s.

Conventional thinking presumed that if only India liberalized more—further reducing tariffs, opening up its economy, and increasing the ease of doing business—it would grow faster. But this presumption began to run into some problems. The biggest was that not all markets were truly open in all sectors during the era of what some have called 'hyper-globalization', creating an uneven playing field. Many major economies guarded their agricultural sectors, which were politically sensitive and benefited from large state subsidies. Some advanced economies, such as the European Union, raised regulatory barriers and maintained hurdles for foreign businesses. But perhaps the most egregious was China, which as a non-market economy heavily subsidized industry, utilized systematic campaigns of corporate espionage, and blurred the lines between the state and private enterprise. [2] In time, China became the hub of a disproportionate amount of